

China Equity Strategy

Mutual funds' position in tech sector hit a record high in Q226

Equity Strategy

China

MFs added electronics/telecom/machinery; cut electrical equipment/non-ferrous metals/F&B

In Q226, mutual funds (MFs) added the most positions in [electronics](#), [telecom](#) and [machinery](#), up 20.2/4.4/0.8ppt QoQ ([Figure 1](#)). Specifically, the global AI wave continues to drive robust capex growth at global tech players, underpinning the strong fundamentals of tech hardware. Both MFs' position in and overweight ratio of [electronics](#) and [telecom](#) rose sharply to all-time highs in Q226. [Machinery](#) posted a 0.8ppt position increase in the quarter, with the humanoid robotics value chain growing fast and the construction machinery's overseas growth recovering.

MFs sharply lifted STAR Board/ChiNext positions; AUM % of tech-focused active MFs hit record high

As the focus of global stock markets returned to the AI-related greater tech sector in Q226, A-share MFs also meaningfully increased their allocation to tech-related sectors and boards. MFs raised their position in the STAR Board/ChiNext Board substantially in the quarter (ie, up 9.9ppt/3.5ppt QoQ), both hitting record highs. MFs' position in and overweight ratio of the greater tech sector hit 57.3% and 18.5%, both new highs, with the allocation ratio well above the previous peak of 43.7% posted by the greater consumer sector. Meanwhile, we define actively managed track funds as those where at least seven of the ten largest holdings (as per their quarterly disclosures) are from a specific sector and their combined weighting tops 50%. We note the actively managed tech track funds as % of the overall actively managed MF AUM hit a record-high of 27.5% as of Q226. We also find that the AUM share of actively managed tech track funds has risen well above that of active funds benchmarked against tech-related indices.

Northbound swung to net inflows in Q226

Our estimates show that northbound swung to a net inflow of Rmb223bn in Q226 from a net outflow of Rmb13bn in Q126. We think the increasing appeal of A-share hard tech stocks is a major reason. By sector, industrials and IT netted northbound inflows of Rmb128.5bn and Rmb67.2bn in Q226, respectively, whereas consumer staples and telecom were the only two sectors with net outflows (Rmb9.7bn and Rmb3.1bn, respectively).

Equity strategy: With deleveraging near the end, how to position going ahead?

In our note "[With ETF trading amounts expanding, A-share deleveraging may be nearing the end](#)", we ascribe the increased volatility of global tech stocks and the sharp A-share tech pullback recently chiefly to profit-taking, reduced trade crowdedness and deleveraging pressure. However, the A-share earnings fundamentals are improving; we expect all A-shares' earnings YoY growth to pick up from 3.9% in 2025 to 11% in 2026. Since the start of Q226, the industrial enterprises' profit growth has accelerated, and the earnings estimates for the ChiNext Board and STAR Board have seen continuous upward revisions. Meanwhile, policy support for AI development remains a secular tailwind. As the market fluctuated sharply recently, regulators, state-owned capital operation companies, and insurers expressed commitments to safeguarding market stability. The CSI 300/ChiNext Index/STAR 50 ETFs saw trading volume spikes, with large-scale net inflows. Moreover, the balance of margin financing of the A-share market has fallen rapidly from its peak; margin financing in the tech sector has contracted significantly, while its leverage ratio remains broadly comparable to the overall market. These suggest the current A-share deleveraging phase may be nearing its end, in our view.

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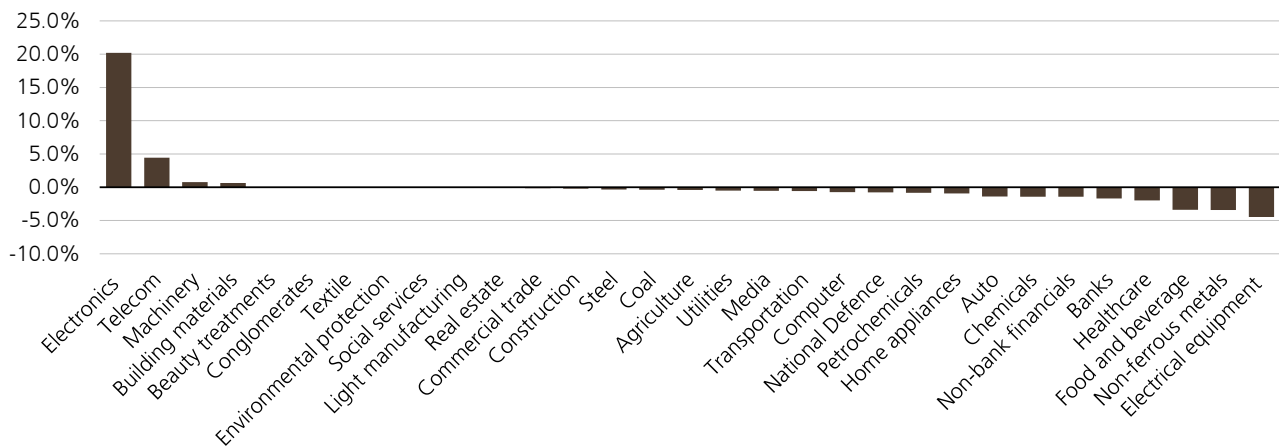
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Analyst

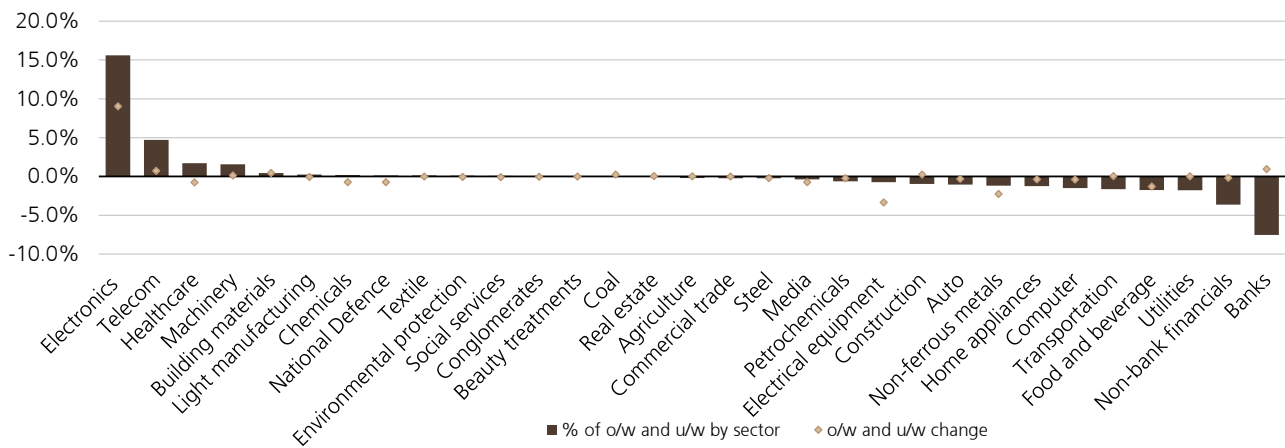
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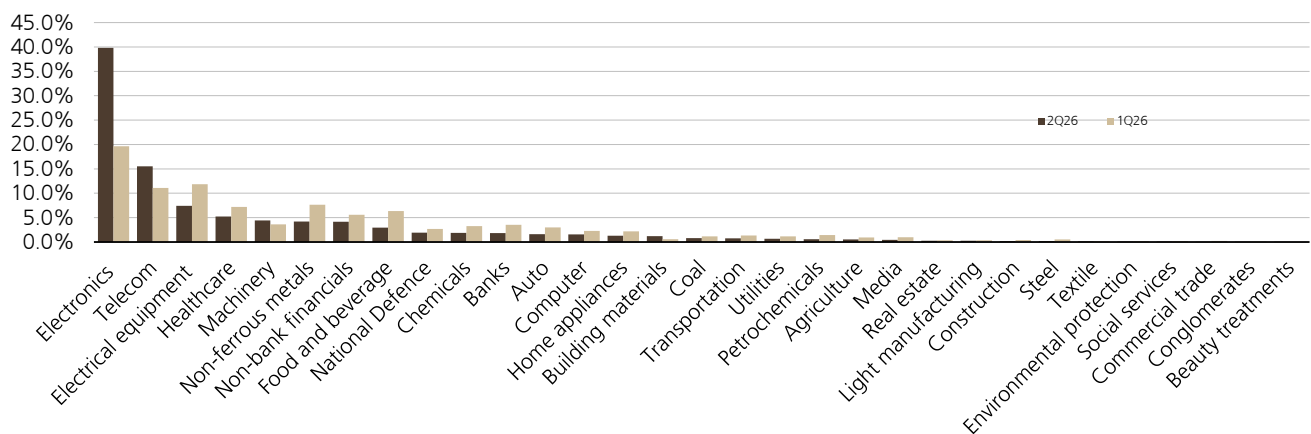
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Figure 1: MFs' position change in Q226 (QoQ)

Source: Wind, UBS-S estimates

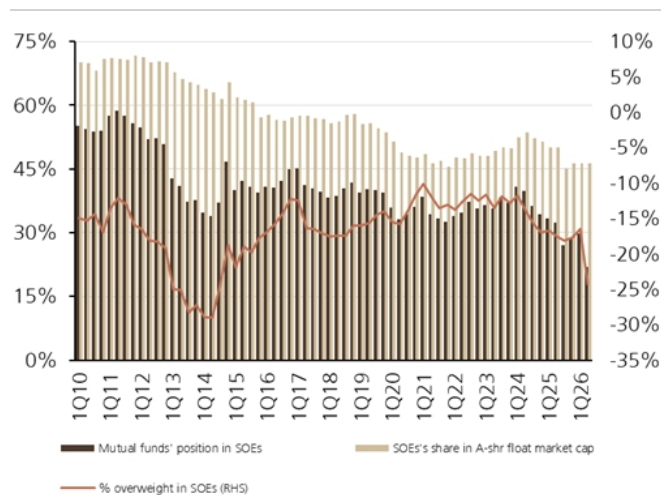
Figure 2: Q226 MFs' % of overweight/underweight by sector (benchmark against CSI300)

Source: Wind, UBS-S estimates

Figure 3: MFs' sector allocation

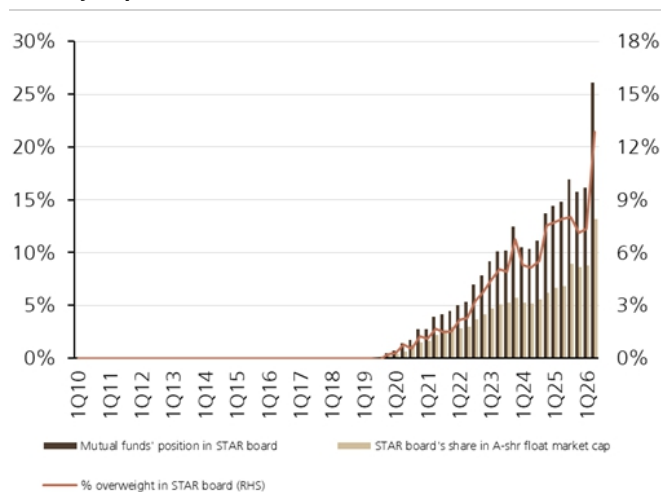
Source: Wind, UBS-S estimates

Figure 4: MFs' position in SOEs shrank materially



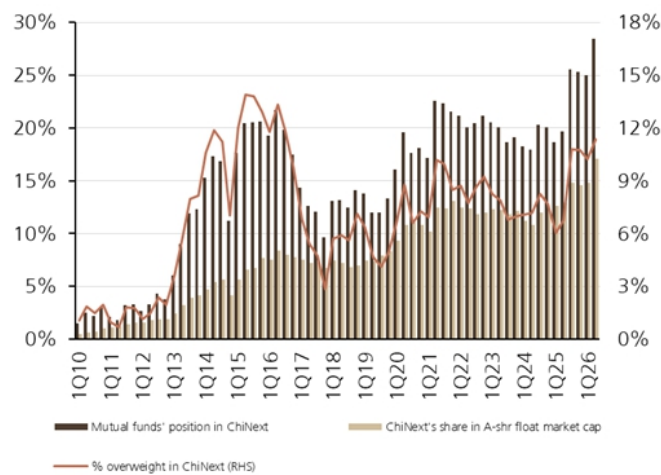
Source: Wind, UBS-S estimates

Figure 5: Both MFs' position in and overweight % of STAR Board jumped



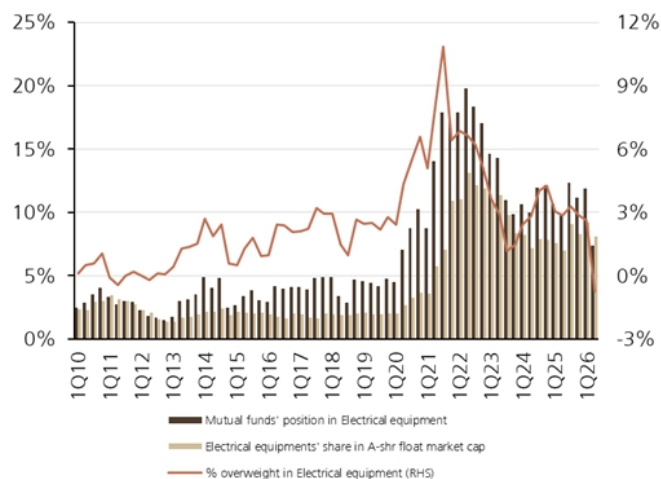
Source: Wind, UBS-S estimates

Figure 6: Both MFs' position in and overweight % of ChiNext rose sharply



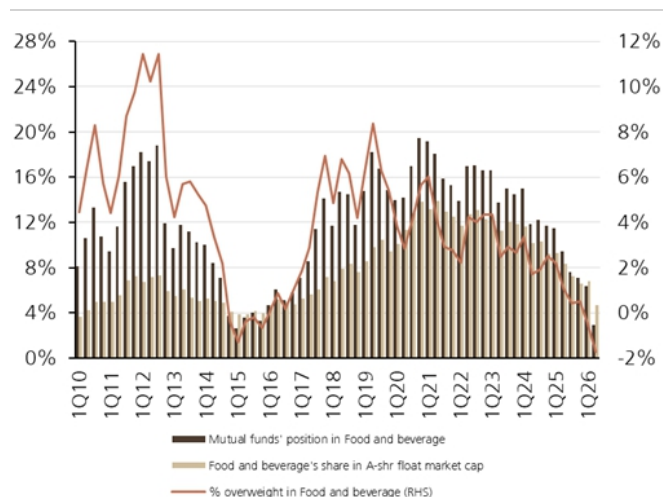
Source: Wind, UBS-S estimates

Figure 7: MFs' position in electrical equipment fell substantially



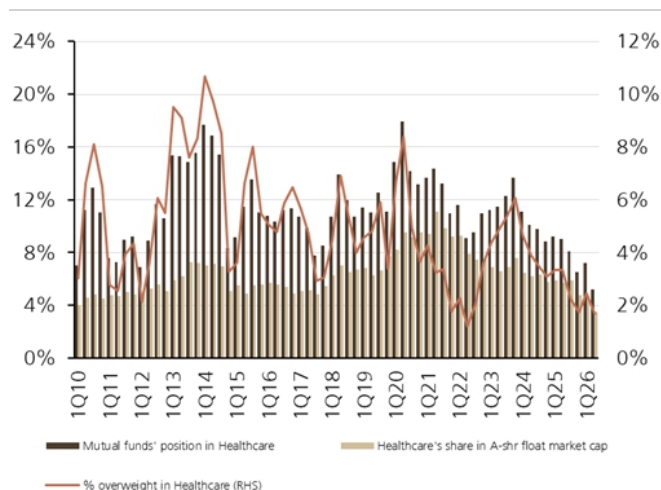
Source: Wind, UBS-S estimates

Figure 8: MFs' position in food & beverages fell further



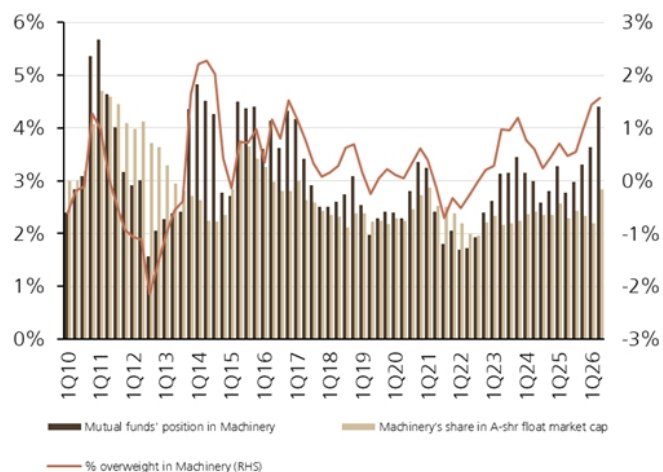
Source: Wind, UBS-S estimates

Figure 9: Both MFs' position in and overweight % of healthcare declined



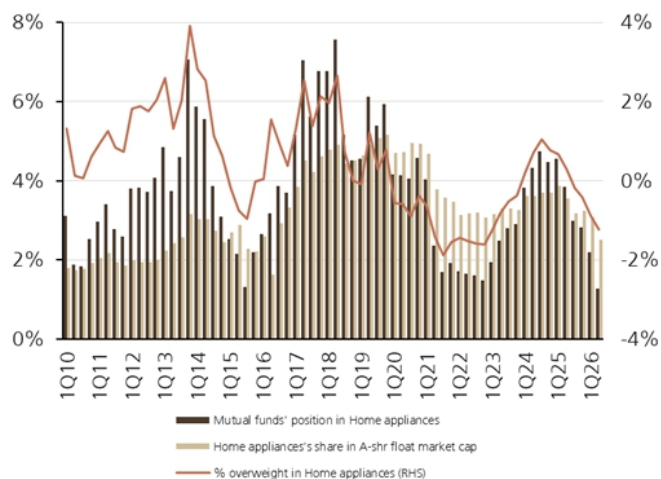
Source: Wind, UBS-S estimates

Figure 10: Both MFs' position in and overweight % of machinery rebounded further



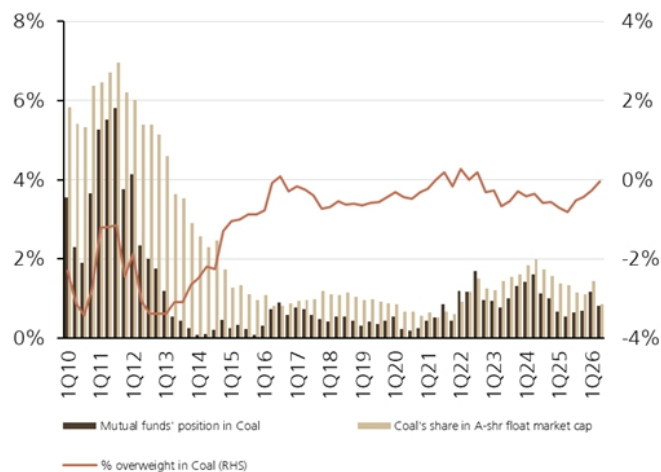
Source: Wind, UBS-S estimates

Figure 11: MFs' position in home appliances fell further



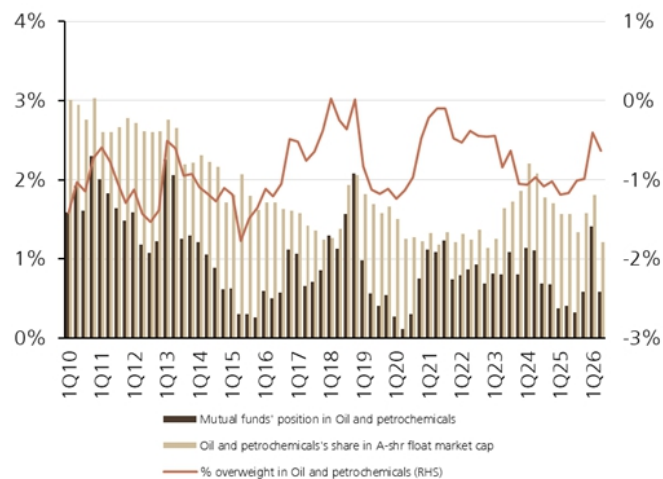
Source: Wind, UBS-S estimates

Figure 12: MFs' position in coal dropped, while the underweight ratio narrowed



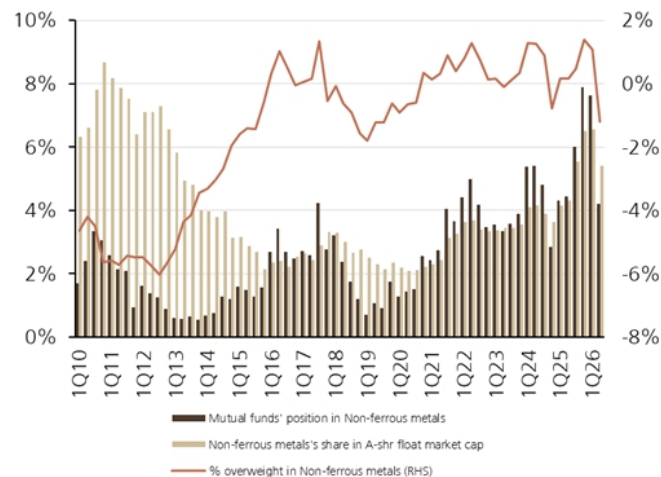
Source: Wind, UBS-S estimates

Figure 13: MFs' position in oil and petrochemicals fell



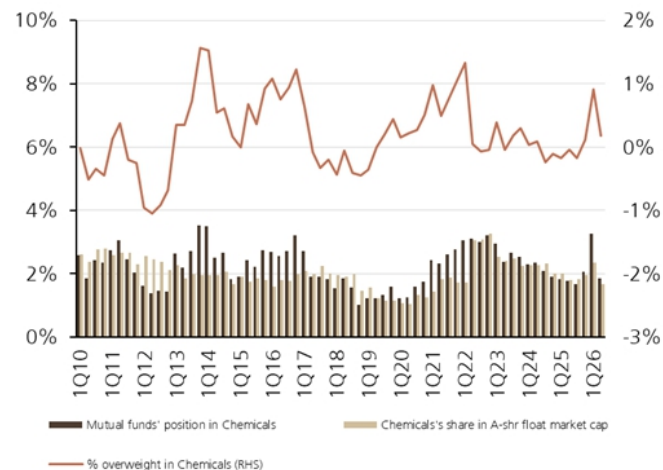
Source: Wind, UBS-S estimates

Figure 14: MFs' position in non-ferrous metals was down sharply



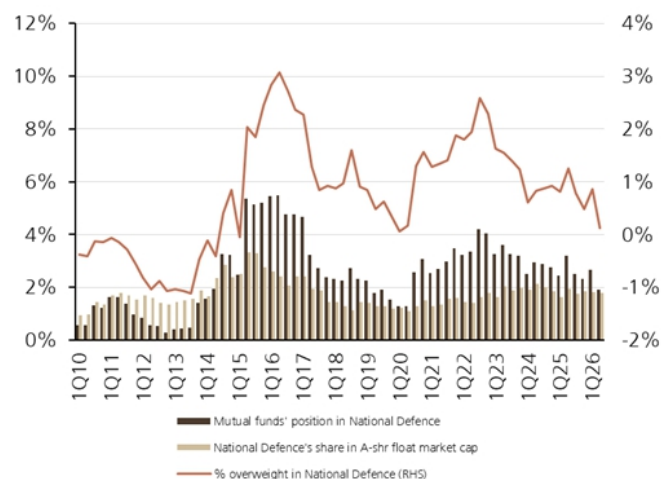
Source: Wind, UBS-S estimates

Figure 15: MFs' position in chemicals fell significantly



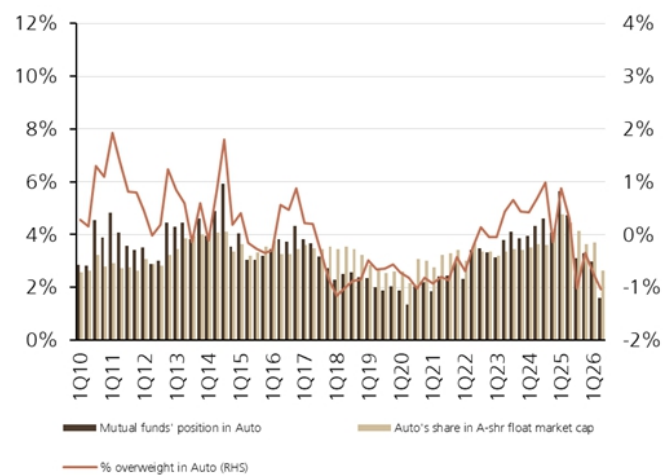
Source: Wind, UBS-S estimates

Figure 16: MFs' position in national defence fell notably



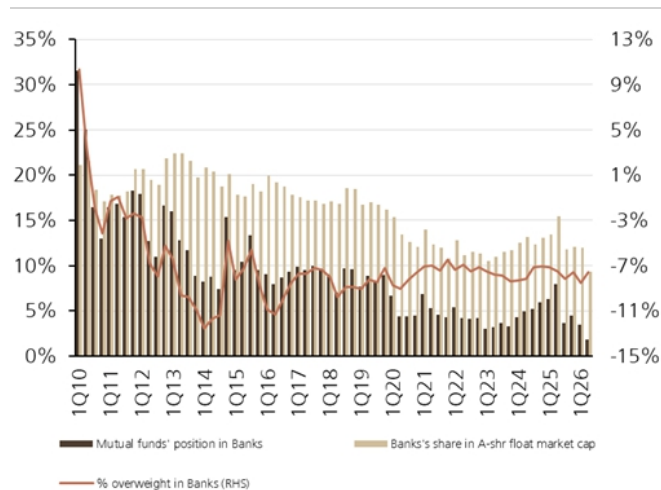
Source: Wind, UBS-S estimates

Figure 17: MFs' position in autos edged lower



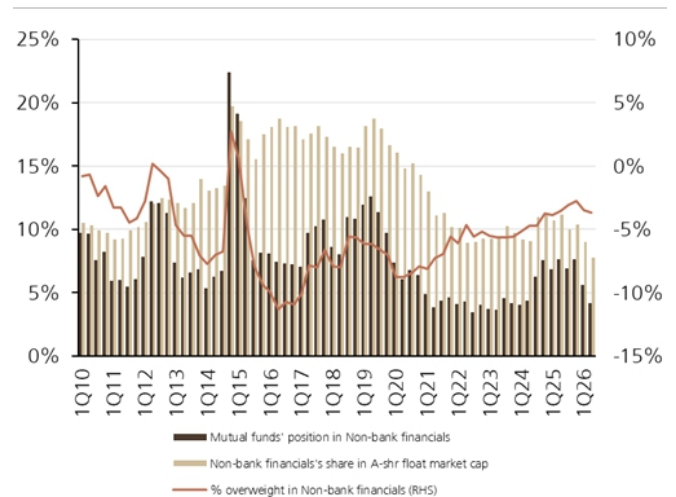
Source: Wind, UBS-S estimates

Figure 18: MFs' position in banks fell further



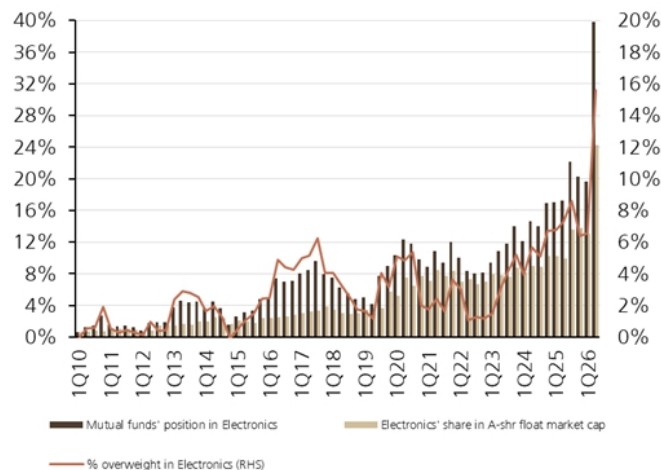
Source: Wind, UBS-S estimates

Figure 19: MFs' position in non-bank financials moved lower



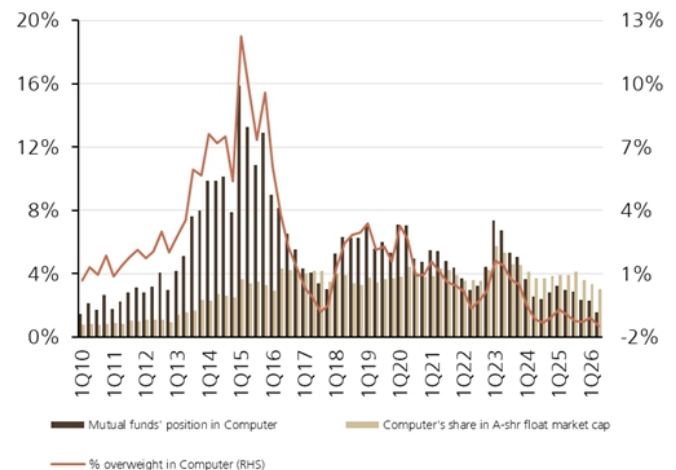
Source: Wind, UBS-S estimates

Figure 20: Both MFs' position in and overweight % of electronics jumped



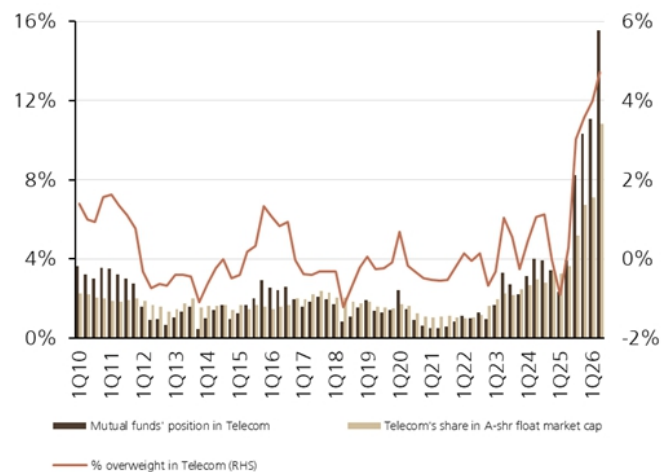
Source: Wind, UBS-S estimates

Figure 21: MFs' position in computer declined



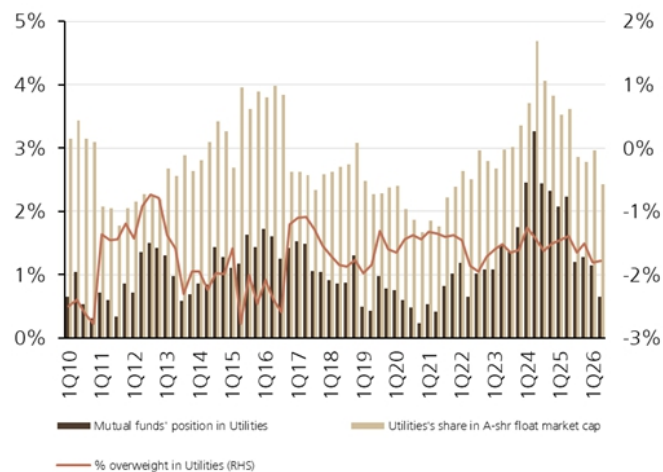
Source: Wind, UBS-S estimates

Figure 22: Both MFs' position in and overweight % of telecom jumped further



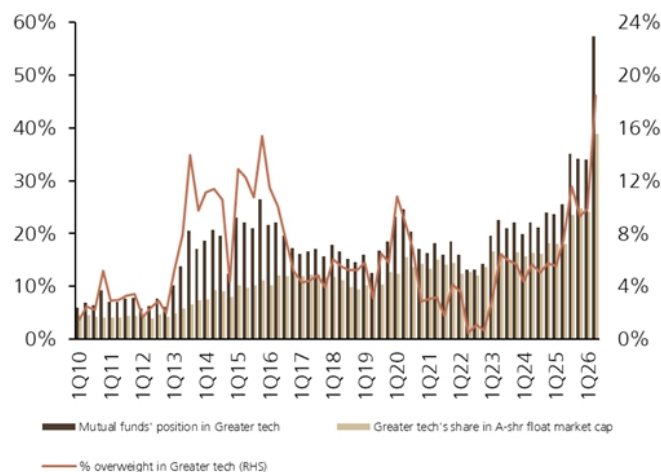
Source: Wind, UBS-S estimates

Figure 23: MFs' position in utilities edged down



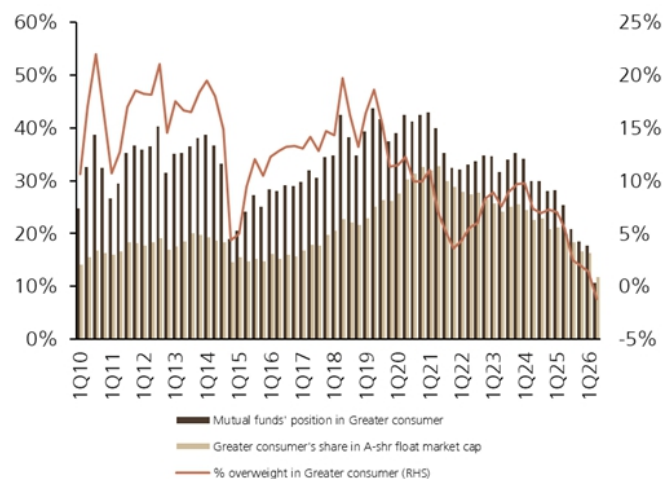
Source: Wind, UBS-S estimates

Figure 24: MFs' overweight % of the greater tech sector jumped



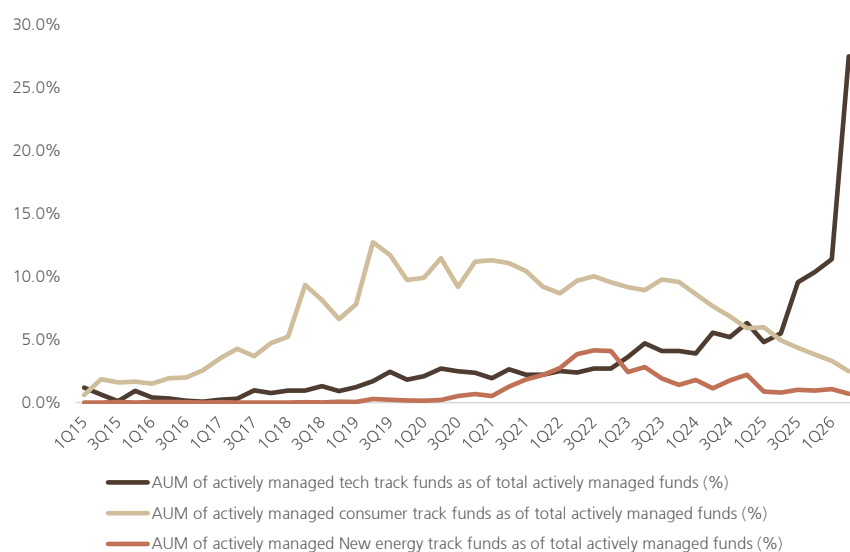
Source: Wind, UBS-S estimates. Note: Note: The greater tech sector includes electronics, telecom, computers and national defence.

Figure 25: MFs' position in and overweight % of the greater consumer sector



Source: Wind, UBS-S estimates. Note: The greater consumer sector includes agriculture, food and beverage, healthcare, home appliances, textile, light manufacturing, social services, commercial trade, beauty treatments and conglomerates.

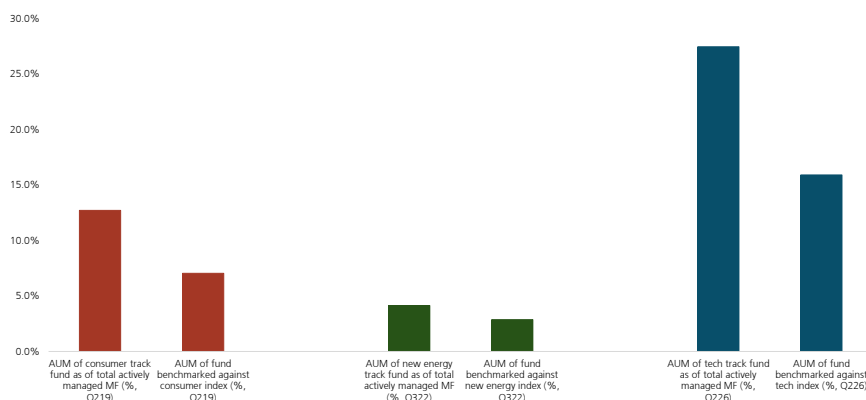
Figure 26: AUM of actively managed tech, consumer and new energy funds as % of total actively managed funds



We define actively managed track funds as those where at least seven of the ten largest holdings are from a specific sector and their combined weighting tops 50%. We note actively managed tech track funds have been rising fast as a portion of the overall actively managed MF AUM since Q225, to a record-high of 27.5% as of Q226.

Source: Wind, UBS-S estimates. Note: We define actively managed track funds as those where at least seven of the ten largest holdings are from a specific sector and their combined weighting tops 50%. Tech funds cover electronics, telecoms, computer and national defence. Consumer funds cover agriculture, food and beverage, healthcare, home appliances, textile, light manufacturing, social services, commercial trade, beauty treatments and conglomerates. New energy funds cover electrical equipment, utilities and autos.

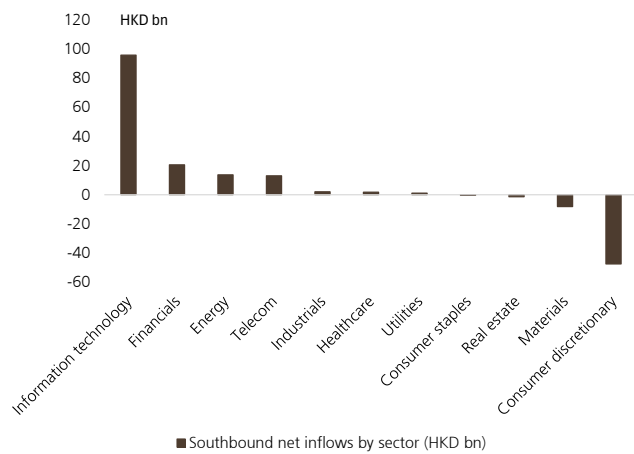
Figure 27: AUM of actively managed track funds as % of total actively managed MFs



We also find that the AUM share of actively managed tech track funds has risen well above that of active funds benchmarked against tech-related indices.

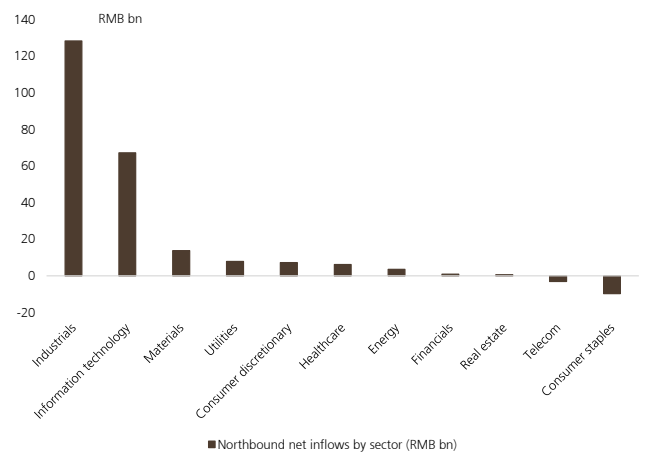
Source: Wind, UBS-S estimates. Note: Q219/Q322/Q226 data for consumer/new energy/tech sector comparisons

Figure 28: Q226 southbound net inflows by sector



Source: Wind, UBS-S estimates

Figure 29: Q226 northbound net inflows by sector



Source: Wind, UBS-S estimates

Valuation Method and Risk Statement

For various stocks across the industries we cover in the Hong Kong and mainland China stock markets, we use a variety of valuation approaches, including DCF models, Gordon growth model analysis and relative valuation analysis using various multiples such as PE, EV/EBITDA and P/BV.

We think the risks facing China's equities include a hard landing for the property market, a capital exodus associated with currency depreciation and slow structural reform progress. In our view, any government policies that do not adequately address these risks could result in a shock to the market. For example, an excess of stimulus policies could pose a risk to the transition from an investment-driven to a consumption-driven economy and increase the debt of government and state-owned enterprises.

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Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 June 2026.

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2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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